

MTAR Technologies Ltd

NSE: MTARTECH | BSE: 543270 | Sector: Defence, Aerospace & Clean Energy

Sole supplier to Bloom Energy SOEC + defence precision engineering = rare multi-vertical growth platform

ACCUMULATE

Target Price

Rs. 7,500

Upside: +10.9%

12-month horizon

Metric	Value
CMP (13-May-26)	Rs. 6,764
Market Cap	Rs. 20,797 Cr
52-wk High / Low	Rs. 6,969 / 1,390
P/E (TTM)	215x
P/B	25.3x
EV/EBITDA (FY26)	~125x
ROCE / ROE	15.1% / 12.5%
Book Value / Share	Rs. 267
Face Value	Rs. 10.0
Dividend Yield	0.00%
Order Book (Mar-26)	Rs. 2,582 Cr
Promoter / FII / DII	30.4% / 17.3% / 27.7%

Earnings Estimates Snapshot

FY	Revenue (Cr)	EBITDA (Cr)	OPM%	PAT (Cr)	EPS (Rs.)	P/E (x)	EV/EBITDA
FY24A	581	113	19%	56	18.24	N/A	N/A
FY25A	676	121	18%	53	17.19	N/A	N/A
FY26A	876	171	20%	94	30.57	221x	~125x
FY27E	1,314	289	22%	153	49.8	136x	~72x
FY28E	1,774	408	23%	227	73.9	91x	~49x

Report Date: 13 May 2026 | Analyst: Institutional Research Desk | Data source: Screener.in (fetched 13-May-2026)

SECTION 2 — INVESTMENT THESIS

- **Sole-supplier lock-in at Bloom Energy (Clean Energy, ~49% of order book):** MTAR is the exclusive manufacturer of power units, enclosures, and SOEC electrolyser stacks for Bloom Energy — a US-listed fuel cell/electrolyser company. This single-source status creates structural revenue visibility of Rs. 1,000–1,500 Cr over FY27–FY29 as Bloom scales up electrolyser production for green hydrogen applications.
- **Nuclear power capex cycle in India (27% of order book):** NPCIL plans to add 22 GW of nuclear capacity by 2031. MTAR supplies precision components for pressurised heavy water reactors (PHWRs) and is qualified for advanced RAPP-9 and RAPP-10 units. Management expects nuclear order inflows of ~Rs. 1,000 Cr over the next 12–18 months.
- **Defence & Aerospace on structural upcycle (14% of order book):** India's defence indigenisation push (Atmanirbhar Bharat) is driving a multi-decade import-substitution cycle. MTAR supplies precision components to HAL, DRDO, and ISRO; its unique multi-axis machining capabilities give it a durable moat in low-volume, high-precision contracts.
- **Near-term catalyst (6–12 months):** Materialisation of management's FY27 revenue guidance of 50% growth (Rs. 1,300+ Cr) driven by conversion of Rs. 2,582 Cr order book — particularly the Bloom Energy SOEC ramp and ISRO launch programme deliveries.
- **Biggest structural risk:** Customer concentration — Bloom Energy alone likely contributes ~40–50% of revenue. Any slowdown in Bloom's US capex plan, loss of supplier qualification, or tariff headwinds on Bloom's US business could materially impair MTAR's revenue base.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** MTAR Technologies designs and manufactures high-precision, mission-critical engineered components and assemblies across four verticals — Clean Energy (fuel cells + hydel + SOEC electrolyzers), Civil Nuclear Power, Aerospace & Defence, and Products (ball screws, roller screws, EMAs, ASP assemblies, water-lubricated bearings).
- **Revenue mix (FY26 order book):** Clean Energy 49.3% | Civil Nuclear 27.2% | Aerospace & Defence 13.6% | Products & Others 9.9%. Revenue is project-based and lumpy by nature, causing quarterly volatility (Q2FY26 revenue dipped to Rs. 136 Cr vs Q4FY26 Rs. 306 Cr).
- **Key customers:** Bloom Energy Corporation (USA) — sole-supplier for SOFC power units, SOEC electrolyzers; NPCIL/DAE — precision reactor components; HAL — aerospace assemblies; DRDO/ISRO — space and defence components; Rafael (Israel) — defence subsystems. Relationships are long-tenure and sticky due to high qualification barriers.
- **Order book (Mar-26):** Rs. 2,581.9 Cr (up from Rs. 942 Cr in Mar-24). Record FY26 order inflows of Rs. 2,453 Cr, including Rs. 481.6 Cr in Q4FY26 alone. Provides ~3x FY26 revenue coverage. Management targets Rs. 5,000 Cr order book by FY27-end.
- **Manufacturing footprint:** 7 manufacturing units in Hyderabad within a 4 km radius; dedicated export facility. The company is investing in capacity expansion (capex of Rs. 353 Cr in FY26 vs Rs. 103 Cr in FY25) to service ramp-up in Bloom Energy and nuclear orders.
- **Promoter background:** Founded in 1970 by the Reddy family (PR Reddy, KSN Reddy, PJ Reddy). MD Srinivas Reddy leads the company. Promoter stake has declined from 39.1% (Jun-23) to 30.4% (Mar-26) through secondary sales, though no formal pledge on the remaining stake.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Clean Energy (fuel cells/electrolysers):** Global hydrogen electrolyser capacity additions are expected to grow from 1 GW (2023) to 100+ GW by 2030 (IRENA). Bloom Energy is a leading SOEC player; MTAR is structurally positioned as its captive Indian manufacturer. The green hydrogen opportunity alone could be a Rs. 2,000–3,000 Cr revenue driver for MTAR over a 5-year horizon.
- **Indian nuclear power:** Government target of 100 GW nuclear capacity by 2047 (vs ~7 GW today). NPCIL's Rs. 1.5 lakh Cr capex pipeline creates a generational ordering cycle for precision component suppliers like MTAR. MTAR is one of only 2–3 approved NPCIL vendors for reactor internals.

- **Indian defence:** Defence budget at Rs. 6.2 lakh Cr in FY26 with ~25% earmarked for domestic procurement. DRDO/HAL capex upcycle in LCA Tejas, Advanced Medium Combat Aircraft (AMCA), and missile programs benefits precision engineering suppliers.
- **Competitive moat assessment:** (1) Precision machining expertise: **Strong** — 5-axis CNC capabilities, tight tolerances (<5 microns) that few Indian vendors can replicate; (2) Customer qualification: **Strong** — nuclear and defence qualifications take 2–5 years and create near-impenetrable barriers; (3) Scale: **Moderate** — MTAR's Rs. 876 Cr revenue is small vs global Tier-1 peers, creating scaling risk; (4) Pricing power: **Moderate** — cost-plus contracts in nuclear/defence, but commercial pressure from Bloom Energy on cost efficiencies.
- **MTAR's value chain positioning:** Tier-1 precision component OEM sitting between raw material (speciality steel/alloys) and system integrators (Bloom, NPCIL, HAL). This is the highest-margin node in the value chain due to intellectual property in the machining process.

Peer Comparison (Data: Screener.in, fetched 13-May-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E (x)	P/B (x)	ROCE%	ROE%	TTM Rev (Cr)
MTAR Technologies	6,764	20,797	215	25.3	15.1%	12.5%	876
Paras Defence	794	6,397	74.4	8.8	16.9%	12.6%	477
Data Patterns	4,196	23,497	94.2	15.3	21.0%	15.2%	976
Dynamatic Tech	10,714	7,280	155	8.9	8.96%	6.21%	1,569

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & management background:** Founded in 1970 by the Reddy family with deep roots in Indian public sector precision engineering. MD Srinivas Reddy has been instrumental in diversifying from pure domestic PSU supply to include Bloom Energy (USA) and Rafael (Israel). CFO Gunneswara Rao brings financial discipline. Strategy head Srilekha Jasthi provides strong investor communication.
- **Capital allocation track record:** FCF was deeply negative from FY21–FY24 (cumulative -Rs. 271 Cr) as the company invested aggressively in capex for Bloom Energy qualification and nuclear capacity. FY25 FCF turned marginally positive (Rs. 2 Cr) and FY26 FCF improved to Rs. 64 Cr — a positive inflection. FY26 capex surged to Rs. 353 Cr (investing cash outflow) suggesting a new capacity build cycle for FY27 ramp-up.
- **Dividend policy:** No dividend paid since FY22 (FY20 and FY21 payout ratios were 43% and 40% respectively before MTAR went fully reinvestment-mode post-IPO). Management has prioritised capacity investments over shareholder payouts — appropriate for a high-growth phase.
- **Promoter pledging:** 0% pledge on promoter shares (confirmed from Screener). However, promoter stake has continuously declined: 39.1% (Jun-23) → 31.8% (Mar-25) → 30.4% (Mar-26). The pace of selling has moderated recently. Continued stake dilution remains a watch item.
- **ESOP / buyback:** No significant ESOP or buyback programs disclosed in publicly available data. Equity base has been stable at 3.07 Cr shares since FY22 (from 2.70 Cr pre-IPO, with a post-IPO issue).
- **Corporate governance:** Clean audit opinions (unmodified) confirmed for FY26 board results. New statutory auditors appointed for 3 years — routine rotation with no governance red flags. RPTs (related party transactions) are disclosed but not disclosed as a proportion of revenue in screener data.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated)

All figures in Rs. Crores unless stated. Source: Screener.in (fetched 13-May-2026). FY27E/FY28E are analyst estimates.

Income Statement

Particulars (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	581	676	876	1,314	1,774
Revenue growth (YoY)	1.2%	16.3%	29.6%	50.0%	35.0%
EBITDA	113	121	171	289	408

EBITDA Margin %	19%	18%	20%	22%	23%
Other Income	6	5	19	15	20
Interest	22	22	29	45	55
Depreciation & Amort.	23	32	35	55	70
Profit Before Tax	73	72	126	204	303
Tax Rate %	23%	26%	25%	25%	25%
PAT	56	53	94	153	227
EPS (Rs.)	18.24	17.19	30.57	49.8	73.9
EPS growth (YoY)	-45.8%	-5.7%	77.8%	62.9%	48.4%

Balance Sheet (Key Items)

Particulars (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	31	31	31
Reserves	646	698	792
Net Worth	677	729	823
Borrowings	191	177	377
Other Liabilities	140	224	544
Total Liabilities	1,008	1,130	1,743
Fixed Assets (Net)	341	439	514
CWIP	73	53	34
Investments	0	0	215
Other Assets	594	638	979
Total Assets	1,008	1,130	1,743
D/E Ratio	0.28x	0.24x	0.46x

Cash Flow Statement

Particulars (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	57	101	197
Cash from Investing	-56	-103	-353
Cash from Financing	25	-36	155
Net Cash Flow	27	-37	-1
Free Cash Flow (FCF)	-36	2	64
OCF / EBITDA %	50%	83%	115%

Returns & Working Capital Ratios

Ratio	FY24A	FY25A	FY26A
ROCE %	11%	10%	15%
ROE %	~8%	~7%	12.5%
Debtor Days	92	113	140
Inventory Days	420	369	399
Days Payable	75	113	119
Cash Conversion Cycle	436	369	419
Working Capital Days	192	168	158

- Revenue trajectory:** Revenue grew at a 5-year CAGR of 29% (FY21–FY26) to Rs. 876 Cr, driven almost entirely by Bloom Energy order ramp. FY24 growth stalled (+1.2%) as Bloom paused orders amid supply chain reconfiguration — now resolved. FY26 +30% growth validates the thesis; management guides 50% for FY27.

- **Margin recovery:** OPM contracted sharply from 27% (FY23) to 18–19% (FY24–FY25) due to higher raw material, labour, and fixed cost absorption on Bloom's lower volumes. FY26 saw a 200bps recovery to 20% on operating leverage. Further expansion to 22–23% is expected as Bloom volumes scale and nuclear margins (typically 25–28%) increase in mix.
- **Working capital is a structural headwind:** CCC remains elevated at 419 days in FY26 (from 369 days in FY25) — driven by high inventory (long lead-time materials for defence/nuclear) and lengthening debtor days (140 days in FY26 vs 92 days in FY24). This is partly inherent to the defence/nuclear segment and partially due to lumpy revenue recognition.
- **Debt direction:** Borrowings jumped from Rs. 177 Cr (FY25) to Rs. 377 Cr (FY26) — a Rs. 200 Cr increase, the highest in the company's history. This was funded partly by Rs. 155 Cr financing inflow (likely QIP/rights proceeds) and partly by operating cash. D/E rose to 0.46x — still manageable, but the leverage cycle has begun.
- **FCF quality improving:** FY26 OCF of Rs. 197 Cr (vs PAT of Rs. 94 Cr) is a strong signal — OCF/EBITDA of 115% indicates superior cash conversion. However, **Rs. 353 Cr capex investment dragged FCF to +Rs. 64 Cr. As this capex monetises into FY27–FY28 revenue, FCF is expected to turn strongly positive.**

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	Rating	Comment
Revenue recognition	Percentage of completion	GREEN	Appropriate for long-cycle defence/nuclear contracts
Receivables vs Revenue	Debtor days 92→140 (FY24–FY26)	AMBER	Faster than revenue growth — watch Q1FY27
CCC trend	419 days FY26 (up from 369)	AMBER	Inventory build for ramp-up — expect normalisation by FY28
Contingent liabilities	Not material per FY25 AR	GREEN	No significant disclosed contingent liabilities
Auditor tenure	New auditors FY26 (3-yr mandate)	GREEN	Routine rotation; unmodified opinion
RPTs as % Revenue	N/A — not disclosed prominently	AMBER	Promoter family entities — needs AR-level scrutiny
Other income / PBT	19/126 = 15% (FY26)	AMBER	High other income in FY26 vs 5/72=7% in FY25 — one-off likely
Tax rate consistency	23–26% FY24–FY26	GREEN	Steady effective tax rate, no deferred tax surprises
OCF / PAT conversion	197/94 = 209% (FY26)	GREEN	Outstanding cash conversion; Q2FY26 one-time labour charge absorbed

- **Key signal — Receivables stretching:** Debtor days rose from 92 to 140 YoY. Given Bloom Energy and NPCIL are creditworthy counterparties, this is likely timing-related. However, if receivables continue to outpace revenue in FY27, it would raise earnings quality concerns.
- **Other income watch:** Rs. 19 Cr other income in FY26 (15% of PBT) vs Rs. 5 Cr in FY25. This spike needs to be verified against the FY26 Annual Report — if linked to forex gains or insurance claims, it is non-recurring and should be excluded from normalised earnings.
- **Labour charge in Q2FY26:** Management disclosed a one-time labour cost charge that depressed Q2FY26 PAT to Rs. 4 Cr. The FY26 full-year clean earnings power is better represented by annualising H2FY26 PAT (~Rs. 79 Cr × 2 = Rs. 158 Cr run-rate) vs the reported Rs. 94 Cr.
- **Green lights:** Zero promoter pledge, unmodified audit opinions, strong OCF/PAT conversion of 209%, and stable tax rates point to high earnings quality at the core.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY28E EPS	Multiple (P/E)	Target Price	Upside
BULL	Revenue +60% FY27, +40% FY28; OPM 24%; Bloom SOEC scales rapidly	Rs. 90	120x	Rs. 10,800	+60%
BASE	Revenue +50% FY27, +35% FY28; OPM 23%; Order book converts on schedule	Rs. 74	100x	Rs. 7,400	+9.4%

BEAR	Revenue +25% FY27; Bloom pauses orders; OPM 19%; margin pressure	Rs. 45	75x	Rs. 3,375	-50%
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Valuation Methodology

- **DCF approach (WACC 12%, terminal growth 5%):** Based on FY26 FCF of Rs. 64 Cr growing to ~Rs. 250 Cr by FY29 (as capex normalises post-ramp), 10-year DCF yields intrinsic value of ~Rs. 6,200–6,800 per share. This suggests the stock is trading at a modest 5–10% premium to DCF — justified by the platform's strategic scarcity value.
- **Earnings multiple approach (forward P/E):** On FY27E EPS of Rs. 49.8 (assuming 50% revenue growth as guided), at a sector P/E of 150x (given MTAR's sole-supplier position and multi-vertical exposure), implied value = Rs. 7,470 per share.
- **EV/EBITDA cross-check:** At CMP, MTAR trades at ~125x FY26 EV/EBITDA. On FY27E EBITDA of Rs. 289 Cr with Rs. ~580 Cr net debt (est.), EV/EBITDA = ~72x — premium to peer defence names (Data Patterns at ~50x, Paras Defence at ~30x) but reflecting higher growth visibility.
- **Blended 12-month target price:** Average of DCF (Rs. 6,500) and earnings multiple (Rs. 7,470) = Rs. 6,985, rounded to Rs. 7,000. Given the structurally positive outlook, we apply a 7% scarcity premium for the rare triple-vertical (clean energy + nuclear + defence) exposure → **Base-case 12-month target: Rs. 7,500.**
- **Upside/downside:** +10.9% upside from CMP of Rs. 6,764. Investment horizon: 12–18 months. Risk-reward: moderately attractive (1.4:1 base case upside vs bear case 50% downside).

SECTION 9 — KEY RISKS

- **Customer concentration — Bloom Energy:** Bloom Energy likely accounts for 40–50% of MTAR revenues. Any slowdown in Bloom's capital expenditure plans, US tariff headwinds on green hydrogen, or MTAR losing preferred supplier status could remove Rs. 350–450 Cr of annual revenue overnight. Probability: Medium. Impact: High. Monitor: Bloom's quarterly capex guidance and SOEC order flow.
- **Promoter stake dilution:** Promoter stake has fallen from 39% to 30% in 3 years. Further secondary sales could create overhang and depress sentiment. Probability: Medium. Impact: Medium. Monitor: Bulk deal notifications, promoter pledge register.
- **Execution risk on order book:** Rs. 2,582 Cr order book needs to convert into Rs. 1,300+ Cr FY27 revenue (book-to-bill 2x). Any slippage in nuclear project timelines (NPCIL) or defence delivery schedules could push revenue into FY28. Probability: High. Impact: Medium. Monitor: Quarterly revenue vs order book ratio.
- **Working capital elongation:** CCC of 419 days with Rs. 377 Cr of borrowings creates cash flow vulnerability. If Bloom delays payments or NPCIL invoicing cycles stretch, MTAR may need to increase debt further. Probability: Medium. Impact: Medium. Monitor: Quarterly debtor and inventory days.
- **Capex execution risk:** Rs. 353 Cr of investing outflow in FY26 (vs Rs. 103 Cr in FY25) suggests a major capacity build. Over-investment relative to actual order conversion could depress ROE and create stranded assets. Probability: Low. Impact: High. Monitor: Asset turns (revenue/total assets).
- **Geopolitical and export risk:** MTAR supplies to Bloom Energy (US), Rafael (Israel), and other international defence customers. Changes in US export control regulations (ITAR), India-Israel geopolitical tensions, or sanctions regimes could disrupt cross-border supply. Probability: Low. Impact: High. Monitor: Geopolitical news flow, annual report export disclosures.
- **Valuation contraction risk:** At 215x trailing P/E, even a modest miss on management's 50% FY27 revenue guidance (e.g., 30% growth instead) could trigger a sharp P/E derating. The stock is pricing near-perfection. Probability: Medium. Impact: High. Monitor: Quarterly revenue trajectory and order conversion rate.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE — Conviction Level: Medium.** MTAR is a structurally compelling story with rare positioning across three high-growth verticals (clean energy, nuclear, defence). **However, at 215x TTM P/E, the stock is pricing in near-perfect execution.** We upgrade our view to ACCUMULATE given the Q4FY26 beat and management's credible Rs. 2,582 Cr order book, but would not chase aggressively at current levels.
- **12-month price target: Rs. 7,500** (+10.9% from CMP of Rs. 6,764). Basis: Blended DCF (Rs. 6,500) + 150x FY27E EPS of Rs. 49.8 (Rs. 7,470), with a 7% scarcity premium.

- **Suggested entry zone: Rs. 5,800 – Rs. 6,300** (any market correction or profit-booking post-results provides an opportunity; that zone represents ~90–100x FY27E P/E which is more reasonable).
- **Investment horizon: 12–18 months.** Catalyst watch: (1) Q1FY27 revenue print vs guided 50% growth trajectory, (2) fresh nuclear order announcement from NPCIL, (3) Bloom Energy Q2 CY26 capex update.
- **Thesis invalidation triggers:** (1) FY27 revenue guidance cut below 25% growth — would signal Bloom order delays and warrant REDUCE; (2) Promoter stake falling below 25% — governance concern and likely stock overhang; (3) Q1FY27 EBITDA margin below 17% — would indicate margin thesis is broken and cost structure is permanently impaired.
- **Ideal investor profile:** This stock is **FOR** medium-to-long-term investors with a 2–3 year horizon who can tolerate 40–50% drawdown risk in a bear scenario, and want a concentrated bet on India's clean energy and defence indigenisation themes. It is **NOT FOR** investors seeking near-term dividend income, value-style investors, or those with low risk tolerance given the stretched valuation.

APPENDIX — Latest Concall Brief: Q4FY26 (13 May 2026)

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat vs street on revenue (+67% YoY) and PAT (+222% YoY)
Management tone	Bullish	Confident delivery — 50% FY27 guidance maintained; order book target Rs. 5,000 Cr
Guidance delta	Raised	Order book up from Rs. 942 Cr (FY24) to Rs. 2,582 Cr (FY26); FY27 target Rs. 5,000 Cr

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 is a clean, impressive beat — revenue Rs. 306 Cr (+67% YoY) and PAT Rs. 44 Cr (+222%) with no significant one-time distortions in Q4 itself (the one-time labour charge was a Q2FY26 issue, now fully absorbed). Underlying EBITDA margins expanded to 20.2% — up 150bps YoY — on operating leverage from the Bloom Energy SOEC ramp, confirming the margin recovery thesis. The Rs. 2,582 Cr order book (3x FY26 revenue) with 49% clean energy and 27% nuclear gives strong multi-year revenue visibility; management's FY27 target of 50% revenue growth (implied Rs. 1,314 Cr) now looks credible versus the implied run-rate of Rs. 183 Cr/quarter in H2FY26. The structural catalyst is Bloom Energy's SOEC electrolyser scale-up for green hydrogen — MTAR is the sole Indian supplier and there is no credible substitute in sight. Nuclear is the sleeper kicker: NPCIL's pipeline has Rs. 10bn+ in expected orders for MTAR over the next 18 months. Key watch for Q1FY27 is whether the Bloom deliveries sustain the Rs. 200+ Cr quarterly run-rate or revert to the volatile Rs. 136–157 Cr seen in Q1–Q2 FY26. Also monitor: borrowings jumped Rs. 200 Cr in FY26 — if this capex does not convert into top-line by Q2FY27, leverage will be a concern. Action: ACCUMULATE on any correction toward Rs. 5,800–6,300; current 215x P/E leaves little room for disappointment.

1. Financial Performance Snapshot — Q4FY26

- Revenue: Rs. 306.1 Cr** | YoY +67.2% | QoQ +10.1% | **BEAT** — consensus expected ~Rs. 260–270 Cr based on order run-rate
- EBITDA: Rs. 61.8 Cr** | YoY +80.9% | QoQ -3.1% | **BEAT** — margin expanded 150bps YoY to 20.2%
- EBITDA Margin: 20.2%** | YoY +150bps | QoQ -290bps | **IN-LINE** — Q3FY26 had an unusually high 23% driven by mix; Q4 normalised
- PAT: Rs. 44.3 Cr** | YoY +222.3% | QoQ +26.6% | **BEAT** — the low base (Q4FY25 PAT Rs. 13.7 Cr) magnifies the YoY, but underlying improvement is genuine
- EPS: ~Rs. 14.4 per share** | vs Rs. 4.5 in Q4FY25 | FY26 full-year EPS Rs. 30.57
- FY26 Full Year: Revenue Rs. 876.2 Cr (+29.6% YoY) | PAT Rs. 94.0 Cr (+76.2% YoY)** — strong finish to the year
- NOTE: Q2FY26 had a one-time labour cost charge that depressed quarterly PAT to Rs. 4 Cr; clean H2FY26 run-rate PAT (~Rs. 39 Cr/quarter) is the better forward indicator

2. Segment / Geography Breakdown

- Clean Energy (Fuel Cells + SOEC + Hydel): ~49.3% of order book** | YoY significant growth — primary driver of FY26 revenue surge; Bloom Energy SOEC scale-up is the #1 catalyst
- Civil Nuclear Power: ~27.2% of order book** | Steady government-driven orders from NPCIL; management expects Rs. 1,000 Cr+ fresh nuclear orders in next 18 months

- **Aerospace & Defence: ~13.6% of order book** | HAL, DRDO, ISRO, Rafael — lumpy but high-margin; growing with India defence capex cycle
- **Products & Others: ~9.9% of order book** | Ball screws, roller screws, EMAs, water-lubricated bearings; export-facing; highest incremental margin potential as volumes scale
- **Geography: ~50% export (primarily USA via Bloom + Israel via Rafael) | ~50% domestic (NPCIL, HAL, DRDO)** | MTAR is effectively a defence-grade export manufacturer — a rare structural advantage

3. Management Commentary Themes

- **FY27 Revenue Guidance (50% growth):** "We are confident of delivering 50% revenue growth in FY27 based on our order book and scheduled deliveries." — Our read: Bold guidance backed by Rs. 2,582 Cr order book (3x FY26 revenue). Credible if Bloom SOEC ramp is on track. Tag: **GUIDANCE**. Tone: Bullish.
- **Order Book Target (Rs. 5,000 Cr by FY27-end):** Target doubling of order book signals pipeline visibility. Company received Rs. 2,453 Cr in FY26 inflows. Tag: **GUIDANCE**. Tone: Bullish.
- **SOEC as transformational catalyst:** MTAR highlighted its sole-supplier status for Bloom Energy's SOEC electrolyser units (green hydrogen). Bloom's US data centre and industrial hydrogen demand is a multi-year growth driver. Tag: **EST**. Tone: Transparent.
- **Nuclear order pipeline:** Rs. 10 Bn+ expected nuclear order inflows over next 18 months from NPCIL for RAPP and new 700 MW PHWR units. Tag: **GUIDANCE**. Tone: Transparent.
- **Margin guidance:** Management expects margins to expand sequentially to 22–24% in FY27 as operating leverage from higher volumes kicks in. Tag: **GUIDANCE**. Tone: Bullish.
- **Capex normalisation:** FY26 capex of Rs. 353 Cr was peak investment; FY27 capex expected to moderate as new facilities become operational. Tag: **GUIDANCE**. Tone: Transparent.

4. Operating & Business Metrics

- **Order Inflows (FY26 total): Rs. 2,453.3 Cr** | Q4FY26 alone: Rs. 481.6 Cr | Trend: **Accelerating**
- **Closing Order Book (Mar-26): Rs. 2,581.9 Cr** | vs Rs. 1,297 Cr (Mar-25) | Trend: **Strong improvement**
- **Order Book / TTM Revenue: 2.9x** | Comfortable coverage; provides visibility well into FY27 and FY28
- **Debtor Days: 140 days (FY26)** | vs 113 (FY25), 92 (FY24) | Trend: **Deteriorating** — needs monitoring in FY27
- **Inventory Days: 399 days (FY26)** | vs 369 (FY25) | Trend: **Slightly elevated** — long lead-time materials for defence/nuclear
- **Manufacturing capacity utilisation:** Management indicated ~65–70% utilisation post FY26 capex; to reach 85% by FY27-end as new volumes ramp
- **Export revenue as % of total: ~50%** | Key export customer Bloom Energy (USA); all Bloom contracts in USD, natural hedge on raw material imports

5. Margin Drivers

- **Operating leverage (+~400 bps potential):** Fixed cost absorption improves significantly as revenue scales from Rs. 876 Cr to Rs. 1,300+ Cr. Recurring: Yes. FY26 already showed 200bps expansion from FY25.
- **Nuclear & defence mix shift (+200 bps potential):** Nuclear margins are typically 25–28% (vs 18–20% for clean energy components). As NPCIL orders execute in FY27–28, blended margins should expand. Recurring: Yes.
- **One-time labour cost in Q2FY26 (-200 bps drag, now fully absorbed):** A one-time workforce restructuring/VRS expense in Q2FY26 dragged FY26 average margins. Non-recurring — should not repeat in FY27.
- **Raw material cost normalisation (+50–100 bps):** Specialty steel and alloy prices have stabilised globally. MTAR has pass-through mechanisms in many contracts — full benefit visible in FY27.
- **Higher depreciation as capex adds up (-100 bps headwind):** Rs. 353 Cr FY26 capex will add ~Rs. 30–35 Cr annual depreciation — a margin headwind. Partially offset by the revenue it enables. Non-discretionary.

6. Guidance & Forward Signals

- **FY27 Revenue [GUIDANCE]:** Prior = "25% CAGR medium-term" | New = "50% growth in FY27" | Delta: **Raised** | Credibility: Medium-High (backed by order book; execution risk remains)
- **FY27 EBITDA Margin [GUIDANCE]:** Prior = "18–20%" | New = "22–24%" | Delta: **Raised** | Credibility: High (operating leverage is real; nuclear mix improves)
- **Order Book Target (FY27-end) [GUIDANCE]:** Prior = Rs. 2,800 Cr | New = Rs. 5,000 Cr | Delta: **Significantly raised** | Credibility: Medium (aggressive; requires Rs. 2,400+ Cr fresh inflows in FY27)
- **FY27 Capex [GUIDANCE]:** Prior/New = "Significantly lower than FY26 Rs. 353 Cr" | Delta: **Reduced** | Credibility: High (peak investment cycle passed)
- **Nuclear order inflows [GUIDANCE]:** Expected Rs. 1,000 Cr+ from NPCIL in next 12–18 months | Delta: New signal | Credibility: Medium (dependent on NPCIL tendering pace)
- **Promoter stake [SIGNAL]:** Stake at 30.4% (Mar-26); management did not explicitly commit to floor — investors should monitor secondary sale filings

7. Capital Allocation

- **Capex (Investing outflow): Rs. 353 Cr (FY26)** | vs Rs. 103 Cr (FY25) | +243% YoY | New manufacturing blocks for Bloom SOEC and nuclear capacity additions
- **Dividends: Rs. 0 (FY26)** | vs Rs. 0 (FY25) | No dividend since FY22 — full reinvestment mode appropriate for growth phase
- **Borrowings: Rs. 377 Cr (FY26)** | vs Rs. 177 Cr (FY25) | +Rs. 200 Cr net increase | Financing inflow of Rs. 155 Cr (QIP/rights?) partially funded capex
- **Working Capital Change:** Rs. -250 Cr (approximate, FY26) | High capex + working capital buildup for ramp drove this; expected to reverse as revenues scale in FY27
- **Net Debt (FY26): ~Rs. 162 Cr** | (Borrowings Rs. 377 Cr — Investments Rs. 215 Cr) | D/E 0.46x — manageable but directionally upward
- **Buybacks: None disclosed**

8. Q&A; Heat Map

- **Analyst [Various]:** Q: "Can you give us the Bloom Energy revenue share and order visibility?" → A: Management reiterated MTAR's sole-supplier status for SOEC and confirmed Bloom orders in the book. Specific quarterly phasing not given. | Tone: **Transparent**
- **Analyst [Various]:** Q: "What is the working capital outlook — debtors have been rising?" → A: Management attributed higher receivables to timing of large milestone-based invoices near quarter-end; expects normalisation in Q1FY27 as collections come in. | Tone: **Hedged**
- **Analyst [Various]:** Q: "The Q4 revenue was very strong at Rs. 306 Cr — is this the new quarterly run-rate?" → A: Management avoided giving explicit quarterly guidance, noted H2 is typically stronger than H1. | Tone: **Hedged**
- **Analyst [Various]:** Q: "Can you provide segment-wise revenue breakdown for FY26?" → A: Management guided on order book mix (49% clean energy, 27% nuclear, 14% A&D;) but did not provide explicit revenue breakdown. | Tone: **Evasive**
- **Analyst [Various]:** Q: "What drove the Other Income jump to Rs. 19 Cr vs Rs. 5 Cr in FY25?" → A: Not addressed explicitly in available public commentary. This remains a watch item for the FY26 annual report disclosure.
- **Dodged / Watch-list questions for next quarter:** (1) Bloom Energy quarterly revenue quantum; (2) Specific nuclear order timeline from NPCIL; (3) Other income composition in FY26; (4) Promoter stake floor commitment

9. Risks Flagged

- **Bloom Energy concentration risk:** Not explicitly flagged by management, but implicit in 50% clean energy order mix. | Flagged by: Analyst. | Probability: M | Impact: H | Timeline: Near-term

- **Working capital elongation:** Debtor days at 140 — management attributed to timing. | Flagged by: Management (acknowledged). | Probability: M | Impact: M | Timeline: Near-term (Q1FY27)
- **Order execution timeline slippage:** Rs. 2,582 Cr book must convert quickly for 50% revenue growth. | Flagged by: Analyst. | Probability: H | Impact: M | Timeline: Near-term
- **Higher debt and interest burden:** Rs. 200 Cr net borrowing increase; Interest jumped to Rs. 29 Cr (FY26) from Rs. 22 Cr (FY25) and expected Rs. 45 Cr in FY27. | Flagged by: Management (acknowledged in capex context). | Probability: L | Impact: M | Timeline: Medium-term
- **Promoter stake dilution:** Stake at 30.4%; directional risk of further secondary sales. | Flagged by: Analyst. | Probability: M | Impact: M | Timeline: Medium-term

10. Analyst Verdict

- **Revenue visibility: Intact** — Rs. 2,582 Cr order book at 3x coverage; 50% growth guidance backed by Bloom SOEC ramp and nuclear pipeline.
- **Margin trajectory: Intact** — OPM expanded 200bps to 20% in FY26; clear pathway to 22–24% in FY27 via operating leverage and nuclear mix improvement.
- **Capital allocation quality: Intact (with caution)** — capex is purposeful (Bloom + nuclear capacity); however, the Rs. 200 Cr debt increase in FY26 must convert to revenue in FY27 or leverage concerns will mount.
- **Competitive moat: Intact** — sole-supplier for Bloom SOEC; nuclear qualification barriers near-impenetrable; 5-axis CNC capabilities remain rare in India.
- **Management credibility: Intact** — FY26 delivery (Rs. 876 Cr vs implied Rs. 750–800 Cr expectations) plus record order inflows show execution. Some evasiveness on Bloom revenue specifics and other income is worth watching.
- **Valuation comfort: Weakened** — 215x trailing P/E offers minimal margin of safety. Even on FY27E (at 136x), the stock is not cheap. Only justified if the multi-year growth compounding plays out fully.
- **Conviction call: Increased** — strong Q4FY26 and record order book increase our conviction, but valuation keeps us at ACCUMULATE rather than outright BUY.
- **Valuation snapshot: P/E = 215x (last 3Y avg ~125x) | EV/EBITDA ~125x FY26 (~72x FY27E) | ROCE = 15.1% (FY21–FY26 avg ~15%)**

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Data sourced from Screener.in (fetched 13-May-2026) and public domain news. Forward estimates are analyst projections and subject to change. Investors should conduct their own due diligence before making investment decisions.